



COURSE SLIDES

Finance for Non-Finance Managers

Course Code: C525

Conducted by Tertiary Infotech Academy Pte Ltd · UEN 201200696W

Version v10 · 21 September 2026

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COURSE ADMINISTRATION

Welcome & Housekeeping

About the Trainer



Your Trainer

General Trainer template —
to be completed by the trainer

NAME

TITLE / DESIGNATION

QUALIFICATIONS

AREAS OF EXPERTISE

TRAINING & INDUSTRY EXPERIENCE

CONTACT

About the Trainer



Dr Alfred Ang

Principal Trainer
Tertiary Infotech Academy Pte. Ltd.

ROLE

Principal Trainer, Tertiary Infotech Academy Pte. Ltd.

CERTIFICATION

Industry certified in the subject area of this course.

DELIVERS

Professional short courses for Tertiary Infotech Academy.

FOUNDER

Founder and lead instructor at Tertiary Infotech / Tertiary Courses.

Let's Know Each Other

1 Your name and organisation / role.

2 Your experience with this subject (if any).

3 What you want to be able to do after this course.

Ground Rules

1

Set your mobile phone to silent mode.

2

Participate actively — no question is too small.

3

Mutual respect: agree to disagree.

4

One conversation at a time.

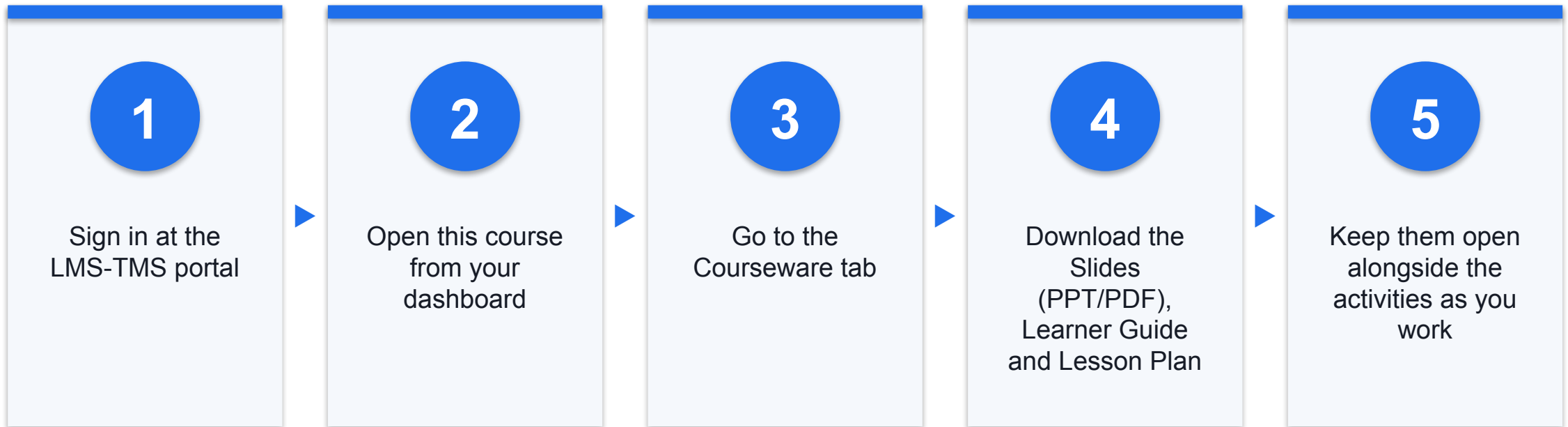
5

Be punctual; return from breaks on time.

6

Learn by doing — try every hands-on activity.

Download Course Material



Portal: <https://lms-tms.tertiaryinfotech.com>

Lesson Plan — 2 Days, 7.5 hours/day

Day 1

- Day 1 — Financial statements, ratios, profitability, cash flow and projections
 - Topic 1: The different financial ratios (Activity 1)
 - Topic 2: Profitability Analysis
 - Topic 3: Cash Flow Analysis (Activity 2)
 - Topic 4: Projected financial and cash-flow statements (Activity 3)

Day 2

- Day 2 — Analysis process, financial health, historical performance, benchmarking and capital budgeting
 - Topic 5: The process of financial statements analysis
 - Topic 6: Use financial analysis to determine the health of an organisation
 - Topic 7: Evaluate organisation's historical financial performance (Activity 4)
 - Topic 8: Investment suitability based on financial analysis
 - Topic 9: Analysis for the financial services industry
 - Topic 10: Benchmarking of financial performance against industry
 - Topic 11: Use Capital Budgeting to evaluate potential investment returns (Activity 5)

Learning Outcomes

1

Read the statements

Outline the process of financial statement analysis, including the balance sheet, income statement and cash flow statement, and the ratios derived from them.

2

Diagnose financial health

Assess an organisation's financial health from financial analysis, including profitability, liquidity, leverage, efficiency and cash flow.

3

Benchmark performance

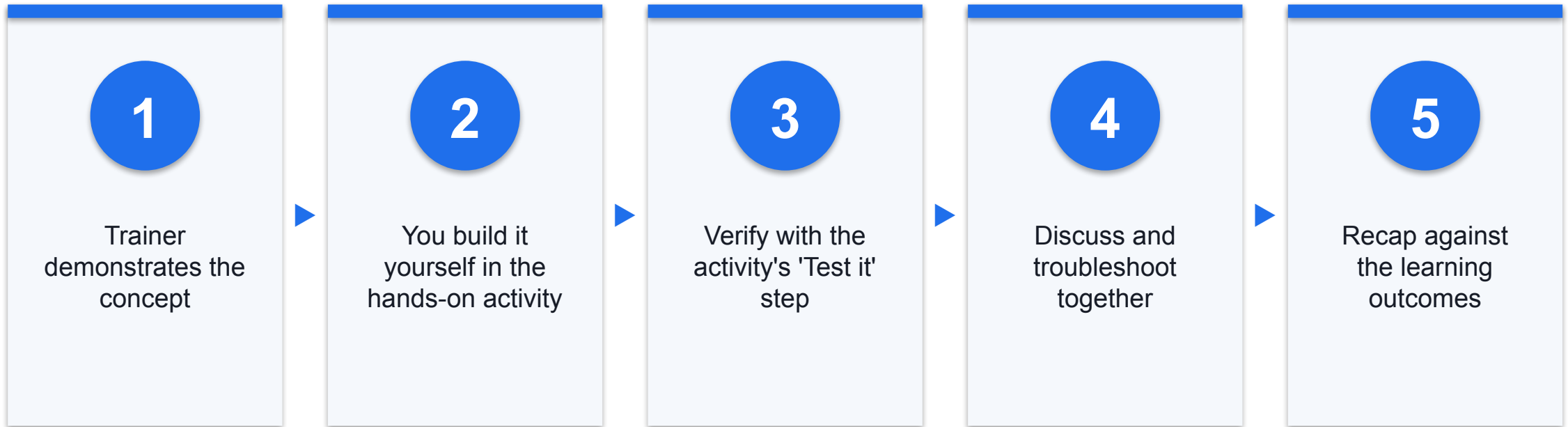
Evaluate an organisation's historical financial performance and benchmark it against industry, including for the financial services sector.

4

Evaluate investments

Define indicators for investment suitability and apply capital budgeting methods to evaluate potential investment returns.

How You'll Learn





CORE CONCEPTS

Course Fundamentals

Key Concepts

1

The three statements

Balance sheet, income statement and cash flow statement answer three different questions about the same business.

2

Ratios, not raw numbers

A figure means little alone; a ratio against a comparator is what carries the signal.

3

Profit is not cash

Profitable companies fail when cash arrives later than it leaves.

4

Direction over level

Several periods of trend say more about health than any single year.

5

Cash flows, discounted

Investment decisions rest on the timing of cash, not on accounting profit.

6

Always name the limit

State what a comparison cannot tell you, alongside what it can.

From Statement to Decision

1

Read

Locate the line items on the three statements.

2

Compute

Derive the liquidity, leverage, efficiency and profitability ratios.

3

Compare

Trend against prior periods and benchmark against the sector.

4

Decide

Judge financial health and investment suitability, and say why.

KEY IDEA

Numbers only speak when something is beside them.

Every judgement in this course is a comparison — to last year, to the sector, or to the cost of capital.

What You'll Be Able To Do

Read any set of statements

- Locate assets, liabilities and equity
- Trace revenue down to net income
- Follow cash through three activities

Diagnose financial health

- Compute the ratio set
- Read liquidity and solvency
- Spot the cash-timing problems

Judge an investment

- Discount future cash flows
- Apply payback, NPV, PI and IRR
- Recommend with a stated basis

How Every Activity Progresses

1

The trainer demonstrates the calculation on a worked example.

2

You rebuild it in Excel on fictional company data.

3

You verify your own figures against the stated check.

4

You explain your decision to the class and hear the alternatives.

TOPIC 01

The different financial ratios

Balance sheet · income statement · cash flow statement · liquidity, leverage and efficiency ratios

KEY CONCEPTS

Key Concepts — The different financial ratios

1

Financial statements are summary-level reports covering financial results, financial position and cash flows.

2

The balance sheet states net worth: $\text{Assets} = \text{Liabilities} + \text{Equity}$, split into current and long-term.

3

The income statement shows performance: $\text{Profits} = \text{Revenues} - \text{Expenses}$, down from revenue to net income.

4

The cash flow statement tracks money moving through operating, investing and financing activities.

KEY CONCEPTS

Key Concepts — The different financial ratios (cont.)

5

Liquidity ratios test short-term survival: current, acid test (quick), cash and operating cash flow ratios.

6

Leverage ratios test solvency: debt ratio, debt-to-equity, interest coverage and debt service coverage.

7

Efficiency ratios test how hard assets work: asset, inventory, receivables and payables turnover.

Financial statement analysis and ratios

ACTIVITY 1

Northstar Supplies Pte Ltd, a fictional Singapore distributor, asks for a short credit review. You work from its income statement and balance sheet, derive the profit lines and the core ratios, reconcile the balance sheet, and write a short credit note. All values are illustrative SGD thousands.

You'll build

A completed workbook of profit lines and ratios, plus a 100-word credit note citing specific figures.

Tools: Microsoft Excel, mock-data.xlsx

ACTIVITY 1

Financial statement analysis and ratios

STEP 1 OF 4



1

Calculate gross profit, operating profit and net profit for each year from the Income Statement.

ACTIVITY 1

Financial statement analysis and ratios

STEP 2 OF 4



2

Classify current assets and current liabilities, then calculate current ratio, quick ratio, debt-to-equity, gross margin and net margin.

ACTIVITY 1

Financial statement analysis and ratios

STEP 3 OF 4

3

Check that $\text{Assets} = \text{Liabilities} + \text{Equity}$. If the statements do not reconcile, identify and quantify the gap rather than forcing a balance.

ACTIVITY 1

Financial statement analysis and ratios

STEP 4 OF 4

4

Write a 100-word credit note describing two improvements or risks, each supported by a specific figure.

Financial statement analysis and ratios

Test it

Your three profit lines tie back to the income statement, the five ratios use the stated definitions, and the balance-sheet check either reconciles or the gap is quantified.

Recap — The different financial ratios

- 1 You can now: LO1 · LO2 — read a set of statements and derive the core ratio set.

TOPIC 02

Profitability Analysis

Gross, operating and net margin · return on assets · return on equity

Key Concepts — Profitability Analysis

1

Profitability ratios reflect the ability of the business to generate earnings; higher is generally more favourable.

2

Gross margin = $\text{Gross profit} / \text{Net sales}$ — what survives the direct cost of sales.

3

Operating margin = $\text{Operating income} / \text{Net sales}$ — what survives running the business.

4

Net profit margin = $\text{Net income} / \text{Net sales}$ — what survives interest and tax.

5

Return on assets = $\text{Net income} / \text{Total assets}$ — how well the asset base earns.

6

Return on equity = $\text{Net income} / \text{Total equity}$ — the return the owners actually receive.

Recap — Profitability Analysis

1

Profitability ratios reflect the ability of the business to generate earnings; higher is generally more favourable.

2

Gross margin = Gross profit / Net sales — what survives the direct cost of sales.

3

Operating margin = Operating income / Net sales — what survives running the business.

4

Net profit margin = Net income / Net sales — what survives interest and tax.

5

Return on assets = Net income / Total assets — how well the asset base earns.

TOPIC 03

Cash Flow Analysis

Why profit is not cash · improving cash flow management · reading a monthly cash flow statement

Key Concepts — Cash Flow Analysis

1

A company can report a profit and still run out of cash — timing, not profitability, causes most failures.

2

Operating cash flow = Operating income + Depreciation - Taxes +/- Change in working capital.

3

Investing cash flows capture gains and losses from buying and selling assets.

4

Financing cash flows capture movement between the company, its shareholders and its creditors.

5

Cash flow management improves by collecting receivables sooner, paying payables on terms and controlling inventory.

Cash flow reconstruction and liquidity

ACTIVITY 2

Harbour Services Pte Ltd reports a profit while its cash is tightening. You reconstruct the movement of cash using the indirect method, reconcile closing cash, and recommend how to protect liquidity. Values are illustrative SGD thousands.

You'll build

A cash-flow workbook whose three activity subtotals reconcile to closing cash, plus a brief liquidity recommendation.

Tools: Microsoft Excel, mock-data.xlsx

ACTIVITY 2

Cash flow reconstruction and liquidity

STEP 1 OF 4

1

Create the operating, investing and financing cash-flow sections from the inputs; show cash outflows as negative values.

ACTIVITY 2

Cash flow reconstruction and liquidity

STEP 2 OF 4

2

Calculate net cash from operations, net change in cash and closing cash. Reconcile closing cash to opening cash plus the three activity subtotals.

ACTIVITY 2

Cash flow reconstruction and liquidity

STEP 3 OF 4



3

Calculate the operating cash-flow ratio using current liabilities, and explain why accounting profit differs from operating cash flow.

ACTIVITY 2

Cash flow reconstruction and liquidity

STEP 4 OF 4

4

Recommend two actions to protect liquidity, without confusing borrowing with operating cash generation.

Cash flow reconstruction and liquidity

Test it

Opening cash plus the three activity subtotals equals your closing cash figure exactly.

Recap — Cash Flow Analysis

1

You can now: LO2 — rebuild cash movement and explain why profit is not cash.

TOPIC 04

Projected financial and cash-flow statements

Proforma statements · forecasting the income statement, balance sheet and cash flow

KEY CONCEPTS

Key Concepts — Projected financial and cash-flow statements

1

Proforma (projected) statements support planning and let you compare actual against predicted performance.

2

Projections are prepared for the income statement and balance sheet; projected cash flow is derived from both.

3

Forecasting the income statement starts from expected sales and applies cost and expense assumptions.

4

Forecasting cash flow means estimating monthly sales, predicting when payments are received, then estimating costs.

5

Keep assumptions as visible, editable inputs so the forecast can be re-run when the assumptions change.

Projected income statement and cash flow

ACTIVITY 3

Meridian Components Pte Ltd needs a simple FY2026 forecast. You build a projected income statement and cash flow from a stated set of assumptions, then re-run the model on a downside scenario. All values are fictional SGD thousands.

You'll build

A workbook holding a base and a downside forecast, with every assumption visible and editable.

Tools: Microsoft Excel, mock-data.xlsx

ACTIVITY 3

Projected income statement and cash flow

STEP 1 OF 4



1

Build a projected FY2026 income statement from the base year and the Assumptions sheet, separating cash operating expenses from depreciation.

ACTIVITY 3

Projected income statement and cash flow

STEP 2 OF 4



2

Calculate projected profit before tax, tax and profit after tax, using cell references to the assumption inputs.

ACTIVITY 3

Projected income statement and cash flow

STEP 3 OF 4



3

Build an indirect operating cash-flow forecast, then closing cash after capital expenditure and debt repayment.

ACTIVITY 3

Projected income statement and cash flow

STEP 4 OF 4

4

Run a downside scenario at 2% revenue growth and 65% COGS as a share of revenue, and state the effect on profit and closing cash.

Projected income statement and cash flow

Test it

Changing an assumption cell updates the whole forecast, and the downside scenario produces a different closing cash figure.

Recap — Projected financial and cash-flow statements

- 1 You can now: LO2 — build a proforma forecast from visible, editable assumptions.

TOPIC 05

The process of financial statements analysis

Ratio analysis · horizontal (trend) analysis · vertical (common-size) analysis

KEY CONCEPTS

Key Concepts — The process of financial statements analysis

1

Financial statement analysis evaluates the financial situation and supports administrative and economic decisions.

2

There are three methods: ratio analysis, horizontal (trend) analysis and vertical (common-size) analysis.

3

Ratio analysis uses the ratios of a business to evaluate its financial position at a point in time.

4

Horizontal analysis measures the percentage change of the same line item across two or more periods.

5

Vertical analysis states every item as a percentage of a base — gross sales for the income statement, total assets for the balance sheet.

Recap — The process of financial statements analysis

1

Financial statement analysis evaluates the financial situation and supports administrative and economic decisions.

2

There are three methods: ratio analysis, horizontal (trend) analysis and vertical (common-size) analysis.

3

Ratio analysis uses the ratios of a business to evaluate its financial position at a point in time.

4

Horizontal analysis measures the percentage change of the same line item across two or more periods.

5

Vertical analysis states every item as a percentage of a base — gross sales for the income statement, total assets for the balance sheet.

TOPIC 06

Use financial analysis to determine the health of an organisation

Reading the balance sheet, income statement and cash flow statement for signals of health

KEY CONCEPTS

Key Concepts — Use financial analysis to determine the health of an organisation

1

From the balance sheet: debt relative to equity, short-term liquidity, and how long collection and payment take.

2

From the income statement: revenue growth, gross profit margin, net profit after all expenses, and interest cover.

3

From the cash flow statement: the liquidity situation, sources of cash, free cash flow, and whether cash rose or fell.

4

From ratios: gross and net profit margin, coverage ratio, current and quick ratio for obligations.

5

From ratios: debt-to-equity, inventory turnover, total asset turnover, ROE and ROA for efficiency and return.

TOPIC RECAP

Recap — Use financial analysis to determine the health of an organisation

1

From the balance sheet: debt relative to equity, short-term liquidity, and how long collection and payment take.

2

From the income statement: revenue growth, gross profit margin, net profit after all expenses, and interest cover.

3

From the cash flow statement: the liquidity situation, sources of cash, free cash flow, and whether cash rose or fell.

4

From ratios: gross and net profit margin, coverage ratio, current and quick ratio for obligations.

5

From ratios: debt-to-equity, inventory turnover, total asset turnover, ROE and ROA for efficiency and return.

TOPIC 07

Evaluate organisation's historical financial performance

Trend analysis of the balance sheet and income statement · trend analysis of ratios

KEY CONCEPTS

Key Concepts — Evaluate organisation's historical financial performance

1

Historical evaluation runs in steps: generate the ratios, then trend the balance sheet, then trend the income statement.

2

Trending the balance sheet shows how the asset, liability and equity mix has shifted over time.

3

Trending the income statement shows whether growth in revenue is converting into growth in profit.

4

Trending the ratios themselves is often more revealing than any single period's value.

5

A direction of travel matters more than one year's number — read several periods before judging.

Trend analysis and industry benchmarking

ACTIVITY 4

You compare two fictional business-services companies against a fictional sector benchmark, trend their revenue over FY2023-FY2025, compute the FY2025 ratio set, and decide which company warrants a deeper review. Amounts are SGD thousands.

You'll build

A comparison table and a concise management note that keeps your calculation distinct from the supplied benchmark.

Tools: Microsoft Excel, mock-data.xlsx

ACTIVITY 4

Trend analysis and industry benchmarking

STEP 1 OF 4

1

Compute each company's FY2023-FY2025 revenue trend and its FY2025 revenue growth.

ACTIVITY 4

Trend analysis and industry benchmarking

STEP 2 OF 4

2

Calculate FY2025 gross margin, operating margin, current ratio and debt-to-equity from the company data.

ACTIVITY 4

Trend analysis and industry benchmarking

STEP 3 OF 4



3

Compare each FY2025 ratio against the sector median, and explain at least one limitation of comparing firms against a single median.

ACTIVITY 4

Trend analysis and industry benchmarking

STEP 4 OF 4



4

Choose which company needs a deeper review, and support the recommendation with three figures.

Trend analysis and industry benchmarking

Test it

Your comparison table distinguishes the ratios you calculated from the benchmark you were given, and your recommendation cites three figures.

TOPIC RECAP

Recap — Evaluate organisation's historical financial performance

- 1 You can now: LO3 — trend performance over three years and benchmark against a sector median.

TOPIC 08

Investment suitability based on financial analysis

Revenues · profits · operational efficiency · capital efficiency and solvency · DuPont

KEY CONCEPTS

Key Concepts — Investment suitability based on financial analysis

1

Revenues: assess quantity, quality and timing, revenue growth ignoring one-time items, concentration and revenue per employee.

2

Profits: read gross, operating and net profit margin together rather than any one alone.

3

Operational efficiency: receivables turnover and inventory turnover show how well working capital is managed.

4

Market data: price to earnings, price to book and price-earnings-growth ratios place the company against its price.

5

The DuPont index decomposes ROE into Net profit margin x Asset turnover x Equity multiplier.

TOPIC RECAP

Recap — Investment suitability based on financial analysis

1

Revenues: assess quantity, quality and timing, revenue growth ignoring one-time items, concentration and revenue per employee.

2

Profits: read gross, operating and net profit margin together rather than any one alone.

3

Operational efficiency: receivables turnover and inventory turnover show how well working capital is managed.

4

Market data: price to earnings, price to book and price-earnings-growth ratios place the company against its price.

5

The DuPont index decomposes ROE into Net profit margin x Asset turnover x Equity multiplier.

TOPIC 09

Analysis for the financial services industry

Banking ratios · insurance ratios · why the standard ratio set does not transfer

KEY CONCEPTS

Key Concepts — Analysis for the financial services industry

1

Banking profitability: net interest margin = $(\text{Interest income} - \text{Interest expense}) / \text{Total assets}$.

2

Banking efficiency: efficiency ratio = $\text{Non-interest expense} / \text{Revenue}$; operating leverage compares the two growth rates.

3

Banking strength: liquidity coverage ratio, leverage ratio ($\text{Tier 1} / \text{Total assets}$) and the CET1 ratio.

4

Insurance: persistency ratio, solvency ratio and combined ratio describe the book and its margin.

5

Insurance: incurred claims ratio, commission expense ratio and claim settlement ratio describe claims performance.

Recap — Analysis for the financial services industry

1

Banking profitability: net interest margin = $(\text{Interest income} - \text{Interest expense}) / \text{Total assets}$.

2

Banking efficiency: efficiency ratio = $\text{Non-interest expense} / \text{Revenue}$; operating leverage compares the two growth rates.

3

Banking strength: liquidity coverage ratio, leverage ratio ($\text{Tier 1} / \text{Total assets}$) and the CET1 ratio.

4

Insurance: persistency ratio, solvency ratio and combined ratio describe the book and its margin.

5

Insurance: incurred claims ratio, commission expense ratio and claim settlement ratio describe claims performance.

TOPIC 10

Benchmarking of financial performance against industry

Sector averages · choosing comparators · the limits of benchmarking

KEY CONCEPTS

Key Concepts — Benchmarking of financial performance against industry

1

A ratio only means something against a comparator — the same company last year, or its sector this year.

2

Sectoral averages move over time, so benchmark against the same period, not a remembered figure.

3

Choose comparators of similar size, business model and geography, or the comparison misleads.

4

State the limitation alongside the comparison: accounting policy, scale and business mix all distort it.

TOPIC RECAP

Recap — Benchmarking of financial performance against industry

1

A ratio only means something against a comparator — the same company last year, or its sector this year.

2

Sectoral averages move over time, so benchmark against the same period, not a remembered figure.

3

Choose comparators of similar size, business model and geography, or the comparison misleads.

4

State the limitation alongside the comparison: accounting policy, scale and business mix all distort it.

TOPIC 11

Use Capital Budgeting to evaluate potential investment returns

Time value of money · payback · discounted payback · NPV · profitability index · IRR

KEY CONCEPTS

Key Concepts — Use Capital Budgeting to evaluate potential investment returns

1

Capital budgeting plans long-term investments and focuses on cash flows rather than accounting profits.

2

Time value of money: $PV = FV / (1+i)^n$ and $FV = PV \times (1+i)^n$ — money in hand beats the same sum later.

3

Payback period measures how long the initial outlay takes to be recovered, ignoring the time value of money.

4

Discounted payback discounts each future inflow to present value before measuring recovery.

KEY CONCEPTS

Key Concepts — Use Capital Budgeting to evaluate potential investment returns (cont.)

5

Net present value sums the discounted cash flows net of the outlay; accept a positive NPV.

6

Profitability index = $\text{PV of inflows} / \text{PV of outflows}$; accept a project with PI greater than 1.

7

Internal rate of return is the discount rate at which NPV equals zero; accept when IRR beats the threshold rate.

Capital budgeting and investment suitability

ACTIVITY 5

A fictional operations team must choose one of two mutually exclusive projects. You build the discounted cash-flow model, compute every capital budgeting measure, and make a recommendation you can defend when the measures disagree. Cash flows are end-of-year SGD thousands, with Year 0 as the initial outlay.

You'll build

A completed investment model and a short recommendation stating the discount rate and all cash-flow timing assumptions.

Tools: Microsoft Excel, mock-data.xlsx

ACTIVITY 5

Capital budgeting and investment suitability

STEP 1 OF 4



1

Calculate cumulative undiscounted and discounted cash flows for each project, and state simple and discounted payback including the fraction of the recovery year.

ACTIVITY 5

Capital budgeting and investment suitability

STEP 2 OF 4

2

Calculate NPV with Year 0 outside the NPV function (or by discounting each cash flow by its own period), then calculate the profitability index.

ACTIVITY 5

Capital budgeting and investment suitability

STEP 3 OF 4

3

Compare the projects against the stated decision inputs. If NPV and payback rank them differently, say which measure you weight more and why.

ACTIVITY 5

Capital budgeting and investment suitability

STEP 4 OF 4

4

Test a 12% discount rate and describe whether your recommendation changes.

Capital budgeting and investment suitability

Test it

Your NPV does not double-discount Year 0, and you can state what happens to the ranking at 12%.

TOPIC RECAP

Recap — Use Capital Budgeting to evaluate potential investment returns

1

You can now: LO4 — apply payback, discounted payback, NPV, PI and IRR to a real choice.



WRAP-UP

Course Summary & Next Steps

What You Achieved

1

Read the statements

Outline the process of financial statement analysis, including the balance sheet, income statement and cash flow statement, and the ratios derived from them.

2

Diagnose financial health

Assess an organisation's financial health from financial analysis, including profitability, liquidity, leverage, efficiency and cash flow.

3

Benchmark performance

Evaluate an organisation's historical financial performance and benchmark it against industry, including for the financial services sector.

4

Evaluate investments

Define indicators for investment suitability and apply capital budgeting methods to evaluate potential investment returns.

Keep Practising After the Course

1

Re-run the activities on your own machine — repetition is what makes the skills stick.

2

Apply the techniques to a real process or project in your own organisation.

3

Your course material stays available at <https://lms-tms.tertiaryinfotech.com/>.

4

Explore the follow-on courses at www.tertiarycourses.com.sg.

THANK YOU FOR ATTENDING

Thank You!

You now have the practical skills from every activity in this course — keep applying them to your own work.